

Equity Research Report



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Equity Research Report

Management expects the EBITDA Margin to rise by 200+ bps.

KEY HIGHLIGHTS:

FY25:

- 1. REVENUE: ₹ 1,199 Cr. (+9.6% YoY)
- 2. EBITDA: ₹ 199 Cr. (+13.07% YoY)
- 3. EBITDA MARGIN: 17% (+100 bps YoY)
- 4. PAT: ₹ 82 Cr. (-66.12% YoY)

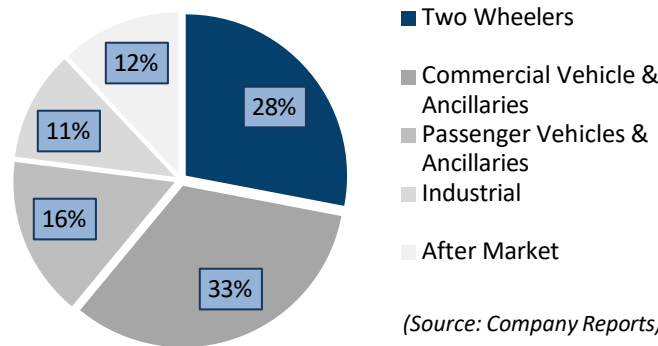
Q4FY25:

- 1. REVENUE: ₹ 329.29 Cr. (+18.23% QoQ, +15.7% YoY)
- 2. EBITDA: ₹ 60.26 Cr. (+34.45% QoQ, +27.61% YoY)
- 3. EBITDA MARGIN: 18.30% (+221 bps QoQ, +171 bps YoY)
- 4. PAT: ₹ -1.34 Cr. (-106.09% QoQ, -104.20% YoY)

OTHER HIGHLIGHTS:

- 1. **Capacity Expansion:** Plans to augment current capacity (INR 110 Cr/month) with a ₹200 Cr expansion. Future launches (₹400 Cr) may require further enhancements in 3–5 years.
- 2. **Global Presence:** 25% of consolidated revenue comes from international markets, with strong demand in global truck and defense sectors.
- 3. **Diversified Segments:** Growth in domestic agriculture, off-highway, and EV segments. Expansion into needle, cylindrical, spherical, taper, and ball bearings.
- 4. **Key Clients:** Partnerships with global OEMs like BMW, Stellantis, DANA, Magna, ZF, BorgWarner, Daimler, and Volvo.
- 5. **Working Capital:** INR 30 Cr improvement post-fire, with further optimizations expected.
- 6. **Cost Management:** Initiatives include solar projects, logistics optimization, and robotic automation.
- 7. **Growth Targets:** Consolidated revenue growth of 12–14% and EBITDA margins exceeding 20%.
- 8. **Global Footprint:** Supplies to 43 countries; 30% revenue from MNCs.

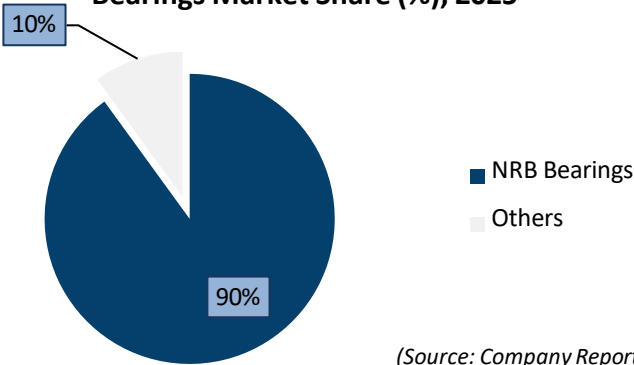
Business Segment Breakup (%), 2025



(Source: Company Reports)

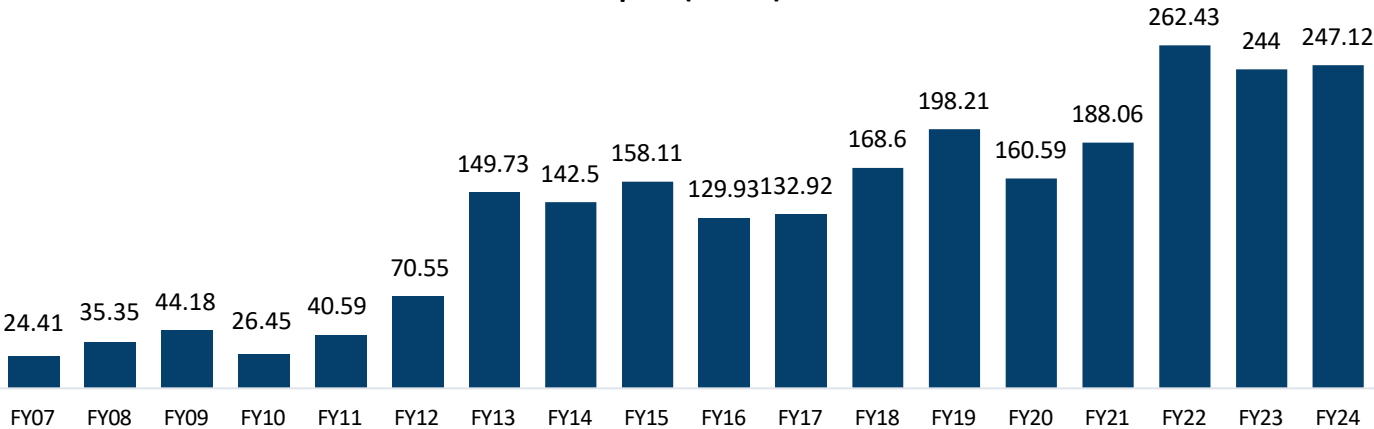
(Source: Company Presentation, Company Analysis)

Bearings Market Share (%), 2025



(Source: Company Reports)

Export (Rs. Cr.)



(Source: Company Reports)

ABOUT THE COMPANY

NRB Bearings Limited, established in 1965, pioneered the manufacturing of needle roller bearings in India and has since transformed into one of the country’s leading friction solutions providers. Headquartered in Mumbai, NRB caters to a wide range of sectors including automotive, industrial, railways, aerospace, and defense, supplying to both domestic and international markets.

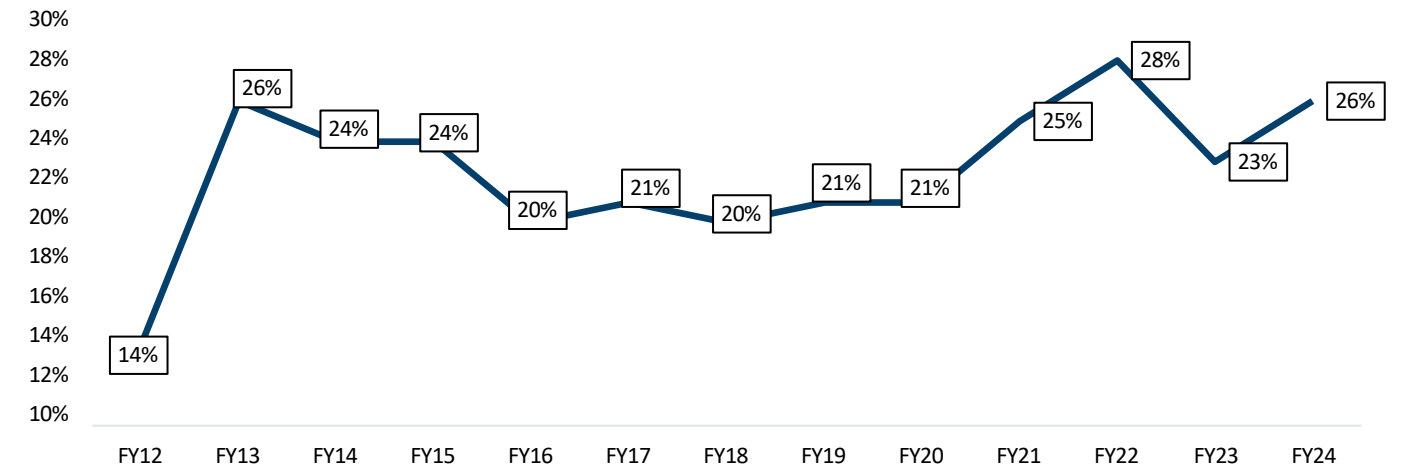
The company has a strong presence across India with eight manufacturing facilities, including locations in Thane, Aurangabad, Jalna, Hyderabad, and Uttarakhand, as well as an international plant in Thailand. It serves a diversified customer base that includes leading automotive OEMs, Tier-1 suppliers, and aftermarket players, with its products exported to over 45 countries globally. NRB is known for its technical partnerships, R&D strength, and ability to deliver customized friction solutions, making it a preferred supplier in high-precision engineering segments. Over the years, it has built a reputation for innovation and reliability, with over 90% of vehicles manufactured in India using NRB products.

BUSINESS SEGMENTS:

- 1. Needle Roller Bearings & Cages:** This is NRB’s flagship product line, consisting of drawn-cup needle bearings, full-complement bearings, and precision cages made of steel or polyamide. These are crucial for reducing friction in engines, transmissions, and powertrains, especially in two-wheelers, passenger vehicles, and commercial vehicles, and they contribute around two-thirds of the company’s revenue.
- 2. Ball & Roller Bearings:** This segment includes a wide range of products such as cylindrical roller bearings, taper roller bearings, spherical bearings, and deep groove ball bearings. These are used in various rotating machinery and automotive applications, providing support for radial and axial loads in gearboxes, wheels, and industrial equipment.
- 3. Automobile Friction Components:** NRB also manufactures precision-engineered components like crank pins, rocker arm bearings, shafts, and pins, which are essential for ensuring smooth movement and longevity of automotive engine parts. These components enhance fuel efficiency and reduce wear-and-tear in high-friction environments within vehicles.

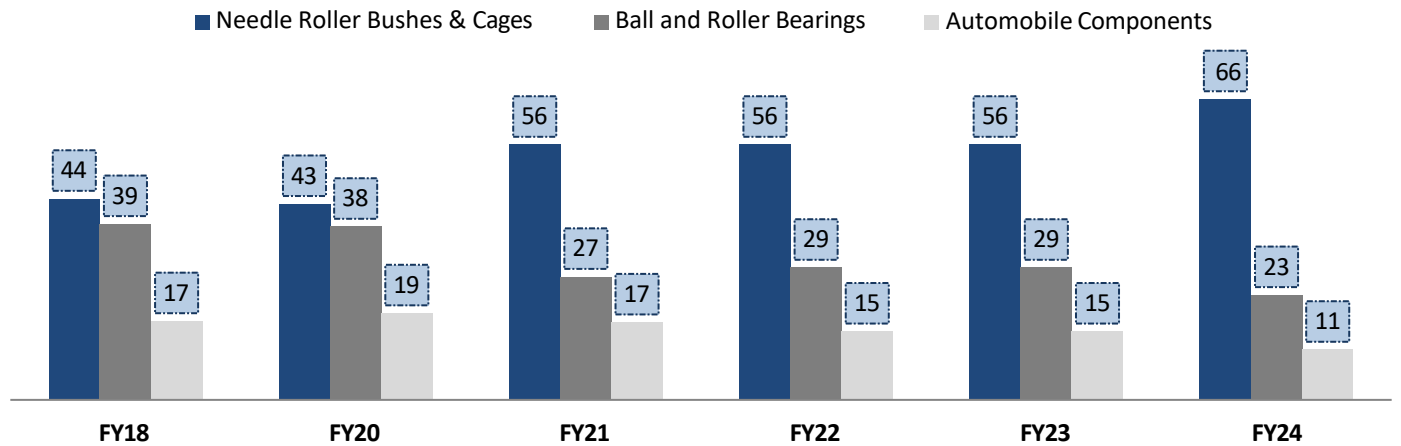
(Source: Company Presentation, Company Analysis)

Export % of Total Revenues



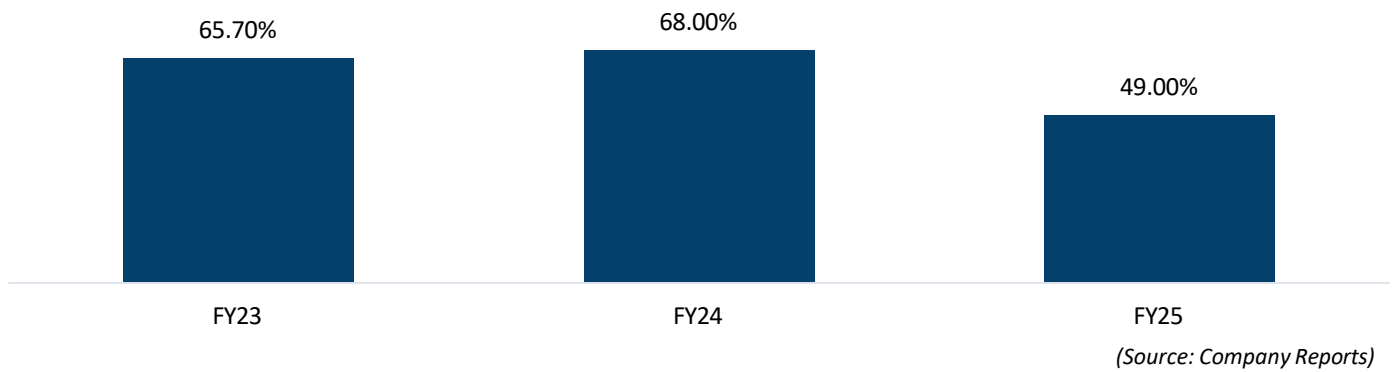
(Source: HDFC Securities)

Product Wise Revenue Mix (%)

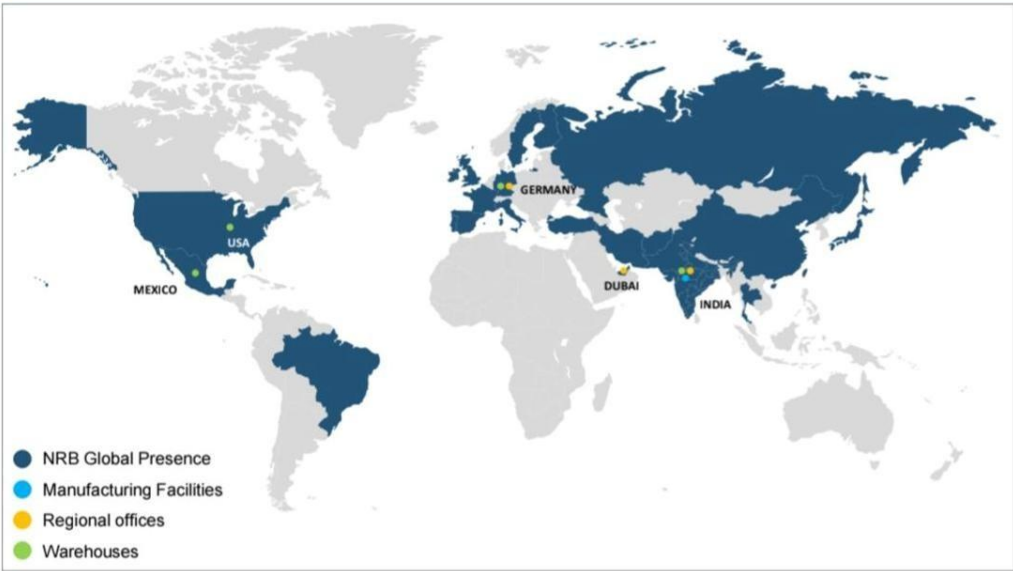


(Source: Company Reports)

Sales to top 10 dealers (%)



INTERNATIONAL PRESENCE & CUSTOMERS



- Over 25% of our annual turnover is exported to American, German and Swedish owned corporations spanning 45 countries
- One of the largest global suppliers to the two-wheeler industry

INTERNATIONAL CUSTOMERS



(Source: Company Reports)

DOMESTIC PRESENCE & DOMESTIC CUSTOMERS



- Over 90% vehicles on Indian roads run on NRB
- 75% needle bearing market share
- 56% cylindrical bearing market share with the below customers



(Source: Company Reports)

Products:



Needles and
Special Rollers



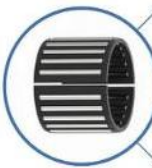
Crank pin,
Planetary Shaft and
other Special Pins



Drawn Cup Needle
Bearing



Thrust Bearing



Split Cage



Brass Roller Cage



Washer and Spacer



Cylindrical Roller
Bearings



Unitized Thrust
Bearing



Needle and Roller
Cage



Rocker-arm
Bearing



Crank Pin Bearing



Polyamide Needle
Cage



Full Compliment
Needle Bearing



Ball Cage



Cylindrical/
Tapered Roller
Thrust Bearing

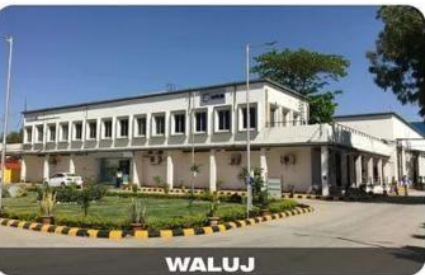


Special Ball Bearing

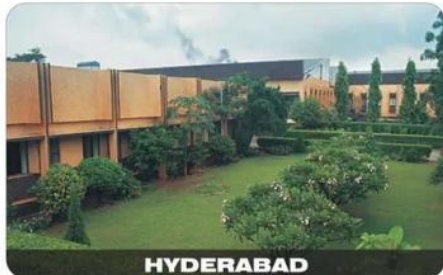


Ring / Bush /
Sleeve

Manufacturing Facilities:



WALUJ



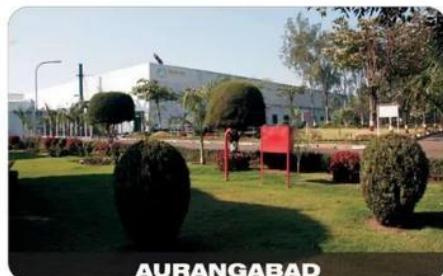
HYDERABAD



PANTNAGAR



JALNA



AURANGABAD



THAILAND

GLOBAL BEARINGS INDUSTRY

The global bearings industry is a fundamental pillar of the mechanical engineering world, powering motion across a range of critical applications—from automobiles and aircraft to wind turbines and industrial machinery. Bearings are essential components that reduce friction between moving parts, enabling smooth and efficient mechanical operations.

➤ MARKET SIZE & GROWTH:

According to **Grand View Research**, the global bearings market was valued at **USD 120.98 billion in 2023** and is projected to grow to **USD 226.60 billion by 2030**, reflecting a strong **compound annual growth rate (CAGR) of 9.5%** over the forecast period. This estimate positions the bearings industry as a fast-expanding market driven by technological innovations, the rise of electric vehicles (EVs), and surging demand across multiple sectors including railways, renewables, and industrial automation.

➤ REGIONAL LANDSCAPE:

- Regionally, **Asia-Pacific dominates the global bearings landscape**, accounting for approximately **40–51%** of the global market share. This dominance is fueled by the rapid industrialization and infrastructure investments across key countries such as **China, India, Japan, and South Korea**. China alone contributes a significant portion of regional demand, supported by large-scale automotive production and export activities. India, too, is emerging as a major bearings market owing to government infrastructure spending, Make-in-India initiatives, and rising domestic automobile production.
- According to Grand View Research and Global Market Insights, the Asia-Pacific region is expected to remain the largest and fastest-growing bearings market over the next decade. Meanwhile, **North America** and **Europe** represent mature but stable markets with consistent demand for high-precision bearings in aerospace, medical equipment, defense, and electric mobility. Latin America, the Middle East, and Africa—though smaller in size—are experiencing steady growth due to increased construction activity and growing energy sector investments.

➤ PRODUCT SEGMENTATION:

- From a product standpoint, **roller bearings** represent the largest segment, capturing nearly **45–47%** of the global market share. These bearings are preferred for heavy-duty applications such as construction equipment, conveyor belts, and mining machinery. **Ball bearings**, on the other hand, are widely used in lighter-load environments including electric motors, fans, and household appliances.
- Global Market Insights estimated the value of the ball bearings segment at **USD 26.7 billion in 2024**, with a forecast to reach **USD 68.5 billion by 2034**, driven by their versatile use and low-friction design. Other specialized bearing types—like magnetic, plain, and air bearings—serve niche high-precision industries and are expected to see gradual uptake, especially in aerospace and semiconductor manufacturing.

➤ APPLICATION AREAS:

- In terms of applications, the **automotive sector** remains the largest consumer of bearings, accounting for **approximately 49% of global demand**, as per multiple research firms including Research and Markets and The Brainy Insights. Bearings are integral to engines, gearboxes, steering systems, wheels, and suspension components.
- The ongoing shift toward **electric vehicles (EVs)** is creating new demand for high-performance bearings that can handle higher speeds, greater heat, and electrical erosion. Beyond automotive, bearings are extensively used in **industrial machinery, construction equipment, railway locomotives, aircraft engines**, and increasingly in **renewable energy installations**—notably **wind turbines**, which require large, robust, and corrosion-resistant bearings.

➤ EMERGING TRENDS:

- One major trend is the **development of lightweight bearings** using ceramic and polymer composites, especially relevant in aerospace and electric mobility where reducing weight enhances efficiency. Another important shift is the adoption of **smart bearings**—integrated with sensors to enable **predictive maintenance**.
- These bearings are increasingly used in **Industry 4.0 and IIoT** (Industrial Internet of Things) environments, helping reduce unplanned downtime and optimize machine performance. Furthermore, the focus on **sustainability and energy efficiency** is driving manufacturers to innovate in materials and coatings to produce longer-lasting, low-friction bearings that consume less power over their life cycle.

COMPETITIVE LANDSCAPE:

- The global bearings market is highly competitive, with a mix of global giants and specialized regional players. Leading firms include **SKF Group (Sweden)**, **Timken Company (USA)**, **Schaeffler AG (Germany)**, **NSK Ltd. (Japan)**, **NTN Corporation**, **JTEKT Corporation**, and **RBC Bearings**. These players invest heavily in R&D, focusing on custom bearing solutions, intelligent systems, and environment-friendly products. SKF, for example, operates more than 100 manufacturing facilities worldwide and leads innovation in hybrid bearings made from steel and ceramics.
- Timken, with sales exceeding **USD 4.6 billion**, has expanded its portfolio beyond bearings into motion control products and power transmission systems. The presence of numerous mid-sized and small enterprises, especially in China and India, creates a highly fragmented market landscape, encouraging price competition and pushing larger players to differentiate through technology and quality.

KEY GROWTH DRIVERS:

- Expansion of global vehicle production, increased demand for **EV-specific bearing solutions**, rising investments in **wind and solar energy**, and rapid industrial automation. According to The Brainy Insights, the shift to automation and smart factories globally will significantly increase the uptake of advanced bearing systems.
- In the renewable energy sector, large-diameter bearings designed for **offshore wind turbines** are gaining prominence due to their ability to withstand extreme conditions and variable load pressures. Additionally, the trend toward **miniaturization of machinery** in sectors like medical devices and electronics is creating demand for compact, high-precision bearings.

INDUSTRY CHALLENGES:

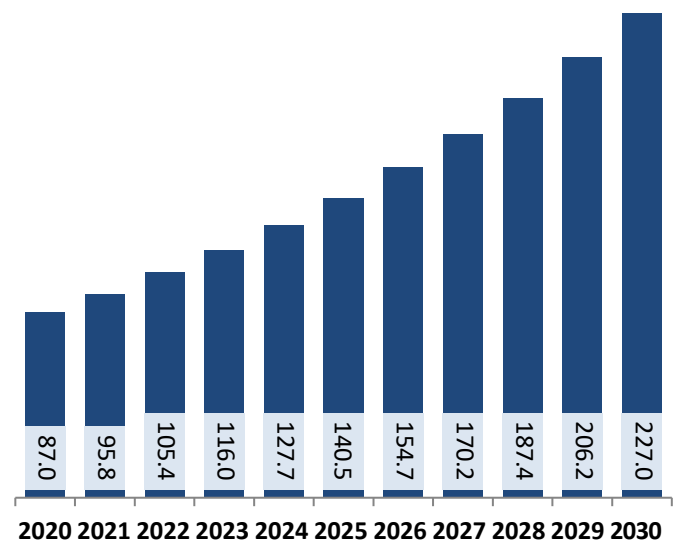
- Despite the optimistic outlook, the industry faces some challenges. **Raw material price volatility**, especially for steel and high-performance alloys, can squeeze margins and impact production planning. The **fragmented market structure** in emerging economies makes it difficult for new entrants to scale without aggressive pricing strategies.
- Moreover, increasing **regulatory standards**, such as ISO 9001, IATF 16949, and ISO 14001, require sustained investment in quality control, R&D, and sustainability practices. Nevertheless, these challenges are also catalysts for innovation and long-term resilience.

FUTURE OUTLOOK:

- Looking forward, the global bearings industry is expected to witness **greater integration of digital technologies**, improved material science, and deeper penetration into electric and autonomous vehicle platforms. The demand for **intelligent bearing solutions** is likely to surge, with bearings capable of real-time diagnostics, cloud-based monitoring, and AI-assisted failure prediction.
- Additionally, demand in the **aerospace and defense sector** is forecasted to grow with rising global geopolitical tensions and increased aircraft production. **Customized bearing solutions** for high-speed rail, urban metro projects, and next-gen energy systems will open further market avenues.

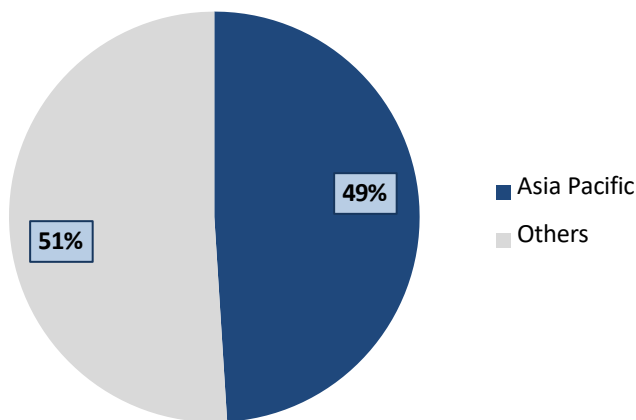
(Source - Grand View Research, Global Market Insights, Research and Markets)

Global Bearings Market Size (USD Billion)



(Source - Grand View Research)

Global Bearings Market Share by Region



(Source - Fortune Business Insights)

INDIAN BEARINGS INDUSTRY

➤ INDUSTRY GROWTH OVERVIEW:

1. The Indian bearings industry is on a strong upward trajectory, driven by the automotive sector, infrastructure push, and industrial automation. Grand View Research estimates the market at ₹3,94,051 crore in 2023, projected to reach ₹7,80,070 crore by 2030 (CAGR 10.2%).
2. Astute Analytica projects ₹4,02,900 crore in 2024 growing to ₹9,65,600 crore by 2033 (also 10.2% CAGR). These forecasts confirm India as one of the fastest-growing bearings markets globally, powered by structural demand and policy-led tailwinds.

➤ AUTOMOTIVE SECTOR AS A KEY DRIVER:

3. The automotive sector accounts for over 45% of total bearings demand—covering two-wheelers, passenger vehicles, and commercial vehicles. Bearings support engines, transmissions, wheels, and electric motors.
4. India is the third-largest automobile market by volume, translating into robust bearings demand.
5. EV transition is spurring demand for specialized EV bearings—built to withstand higher speeds, heat, and ensure better noise/vibration control.

➤ INDUSTRIAL & INFRASTRUCTURE DEMAND:

1. Industrial machinery and construction equipment form the second-largest bearings user group.
2. Government policies like “Make in India” and the National Infrastructure Pipeline (NIP) are driving capex across industries.
3. Mechanization in agriculture is pushing growth in agricultural bearings, expected to clock a 12.9% CAGR (Research and Markets). Renewable energy projects and rail modernization are boosting demand for heavy-duty, high-load bearings.

➤ PRODUCT SEGMENTATION:

4. Roller bearings dominate the Indian market due to their heavy-load capability—ideal for railways, construction, and industrial drives. Ball bearings, used in consumer appliances and lighter machinery, also form a substantial share.
5. As per one study, the market was ₹1,50,450 crore in 2021 and is projected to grow to ₹2,86,450 crore by 2027 (CAGR 11.3%)—driven by demand across both product types.

➤ GEOGRAPHIC DISTRIBUTION:

1. Demand is concentrated in western and southern India—home to auto hubs in Maharashtra, Tamil Nadu, and Gujarat.
2. Northern and eastern regions are catching up, supported by infra build-out, coal mining, steel production, and metro/logistics projects. Growth is fairly aligned with industrial activity and capex patterns across Indian states.

➤ COMPETITIVE LANDSCAPE:

3. The market features multinationals and strong domestic players like SKF India, Timken India, Schaeffler India, NRB Bearings, NEI, NTN India, and Menon Bearings.
4. Top 5 players control ~60% market share, with SKF and Schaeffler alone contributing ~37%.
5. Strengths include OEM relationships, wide product portfolios, and strong distribution networks. India’s low-cost advantage and engineering talent are attracting global manufacturing, leading to more JVs and tech collaborations.

➤ TECHNOLOGICAL ADVANCEMENTS:

6. Shift towards lightweight, corrosion-resistant bearings using ceramic/composite materials—especially useful in EVs and aerospace.
7. Rise of smart bearings with sensors to monitor machine health, temperature, and vibration in real-time. These enable predictive maintenance and are key to Industry 4.0 and smart factories—adoption expected to rise in high-value sectors.

➤ CHALLENGES IN THE SECTOR:

8. Raw material price volatility—especially in alloy and specialty steels—impacts costs. High dependence on imported high-grade steel and components compounds the issue.
9. Compliance with global standards (ISO, IATF, REACH) requires continuous investment in R&D, testing, and process upgrades.
10. While these are entry barriers, they also push quality and innovation.

➤ FUTURE OUTLOOK:

11. The market is expected to sustain double-digit growth, supported by trends like electrification, automation, infra expansion, and localization.
12. High-speed rail, metro systems in Tier 2/3 cities, and renewables will drive bearing demand.
13. Rising demand for customized solutions in EVs, wind turbines, and agricultural gear is creating new high-value niches.

Concall Analysis- Q4FY25:

CONSOLIDATED PERFORMANCE

➤ ANNUAL PERFORMANCE

- Revenue:** ₹1,094 crore in FY24 to ₹1,199 crore in FY25 (+9.6% YoY).
- EBITDA:** ₹176 crore in FY24 to ₹199 crore in FY25 (+13.1% YoY).
- EBITDA Margin (%):** 16% in FY24 to 17% in FY25 (+100 bps YoY).
- Profit Before Tax (PBT):** ₹316 crore in FY24 to ₹113 crore in FY25 (-64.2% YoY).
- Net Profit (PAT):** ₹242 crore in FY24 to ₹82 crore in FY25 (-66.1% YoY).

➤ QUARTERLY PERFORMANCE

Revenue

- ₹285 crore in Q4 FY24 to ₹329 crore in Q4 FY25 (+15.4% YoY).
- ₹279 crore in Q3 FY25 to ₹329 crore in Q4 FY25 (+17.9% QoQ).

EBITDA

- ₹47 crore in Q4 FY24 to ₹60 crore in Q4 FY25 (+27.7% YoY).
- ₹45 crore in Q3 FY25 to ₹60 crore in Q4 FY25 (+33.3% QoQ).

EBITDA Margin (%)

- 17% in Q4 FY24 to 18% in Q4 FY25 (+100 bps YoY).
- 16% in Q3 FY25 to 18% in Q4 FY25 (+200 bps QoQ).

Profit Before Tax

- ₹44 crore in Q4 FY24 to ₹0.7 crore in Q4 FY25 (-98.4% YoY).
- ₹32 crore in Q3 FY25 to ₹0.7 crore in Q4 FY25 (-97.8% QoQ).

Net Profit

- ₹32 crore in Q4 FY24 to -₹1.3 crore in Q4 FY25 (-104.1% YoY).
- ₹22 crore in Q3 FY25 to -₹1.3 crore in Q4 FY25 (-105.9% QoQ).

A. OVERALL CONSOLIDATED PERFORMANCE (NRB BEARINGS LTD.)

- PAT (Excluding Exceptional Items): **₹121 Cr (+31.5% YoY)**. *Management stressed viewing performance ex-exceptionals to understand core trends.*
- Exceptional Items:** FY24 PAT was inflated by a **₹178 Cr gain** from the Thane Land Sale. FY25 PAT was impacted by an exceptional loss due to a settlement payment.
- Operational Highlights & Management Commentary (Business Recovery): "Back to Normal":** Management has declared a full recovery from the May 2023 fire at the Waluj plant, which disrupted operations for 18 months (Q1 FY24 to Q3 FY25). The revenue impact was over ₹90 Cr, and asset loss of ₹55 Cr was covered by insurance.
- Market Position:** #1 in India for needle and cylindrical roller bearings (75% and 56% market share respectively). Over 90% of vehicles on Indian roads use NRB products.

B. DOMESTIC & INTERNATIONAL OEM BUSINESS (MAPPED TO "BAGIC" SLOT - CORE OPERATIONS)

1. FY25 Revenue Mix:

- Commercial Vehicle & Ancillaries: 33%
- Two Wheelers: 28%
- Passenger Vehicles & Ancillaries: 16%
- After Market: 12%
- Industrial (Agriculture, Off-highway, etc.): 11%

2. **International (Over 25% of revenue):** Strong demand continues from Global Truck & Defense sectors. Focus on supporting next-gen platforms for global OEMs like BMW, Stellantis, DANA, Magna, ZF, Daimler, and Volvo.

3. **Domestic:** Growth driven by the Agriculture segment and increased penetration in Off-Highway.

4. **Electric Vehicles (EV):** The domestic EV segment is an expanding area of focus, with an emphasis on EV-agnostic products (steering, chassis, drive-line programs).

5. **De-risked Business Model:** No single segment exceeds 33% of revenue, and no single customer exceeds 10%. Top 10 customers contribute 49%.

Concall Analysis- Q4FY25:

C. CAPITAL MANAGEMENT

- Capital Expenditure (Capex) Cycle:** A confirmed ₹200 Cr capacity expansion plan is underway to supplement the current capacity of ₹110 Cr/month. The ₹200 Cr expansion is a direct response to current demand exceeding the ₹110 Cr/month capacity. The need for further capex is validated by the secured new business nominations worth ₹400 Cr, which require dedicated capacity over the next 3-5 years.
- Divestments:** Recorded an exceptional gain of ₹178 Cr from the sale of land in Thane during Q3 FY24.
- Working Capital:** A ₹30 Cr improvement achieved post-recovery. Continued focus on inventory optimization, securing receivables, and strategically increasing payable days.

D. MANAGEMENT OUTLOOK & GUIDANCE (FUTURE PROJECTIONS)

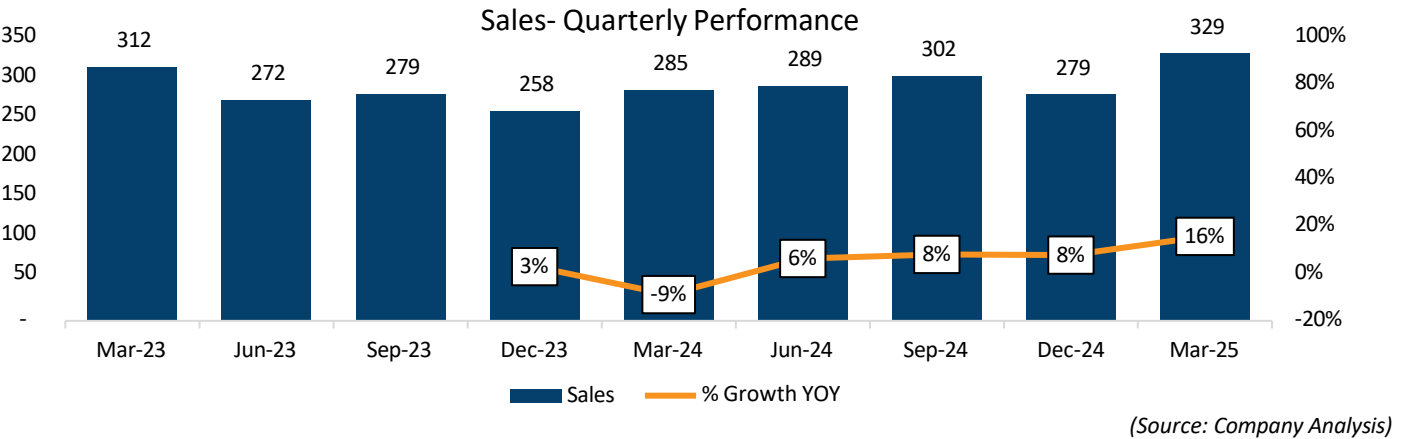
Tone: Clear and confident, signalling a phase of accelerated, profitable growth post-turnaround.

- Guidance:**
 - Consolidated Revenue Growth: 12-14%.**
 - Consolidated EBITDA Margin: To reach 20%+ levels.** This is driven by a combination of operating leverage from higher volumes (12-14% growth), ongoing cost optimization projects (solar, logistics, automation), and an improving product mix with a focus on next-generation platforms for global OEMs.
 - Operating Margin (Standalone):** Expected to return to pre-fire levels.
- Strategic Priorities Ahead:**
 - Execute the ₹200 Cr capacity expansion to meet demand from existing and new business.
 - Deepen penetration with European OEMs and expand in domestic Agriculture, Off-Highway, and EV segments.
 - Continue driving operational efficiency through automation, cost control, and working capital management.
 - Leverage low debt and strong internal accruals to fund the next phase of growth.

Financial Analysis- Quarterly:

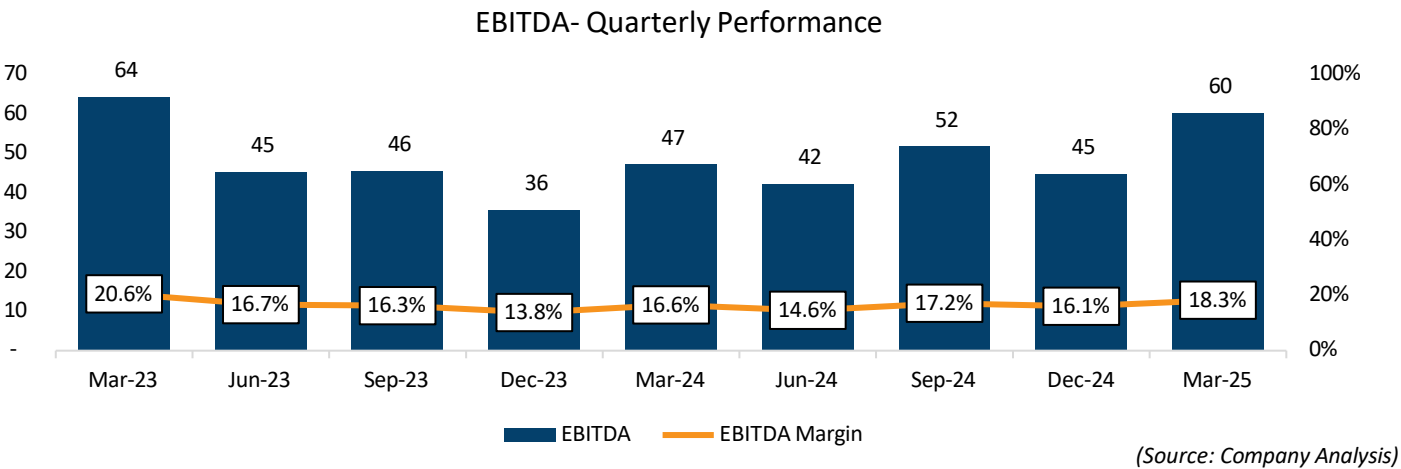
Revenue:

The Revenue has grown at a CQGR of ~ (0.7%) in the past 9 Quarters.



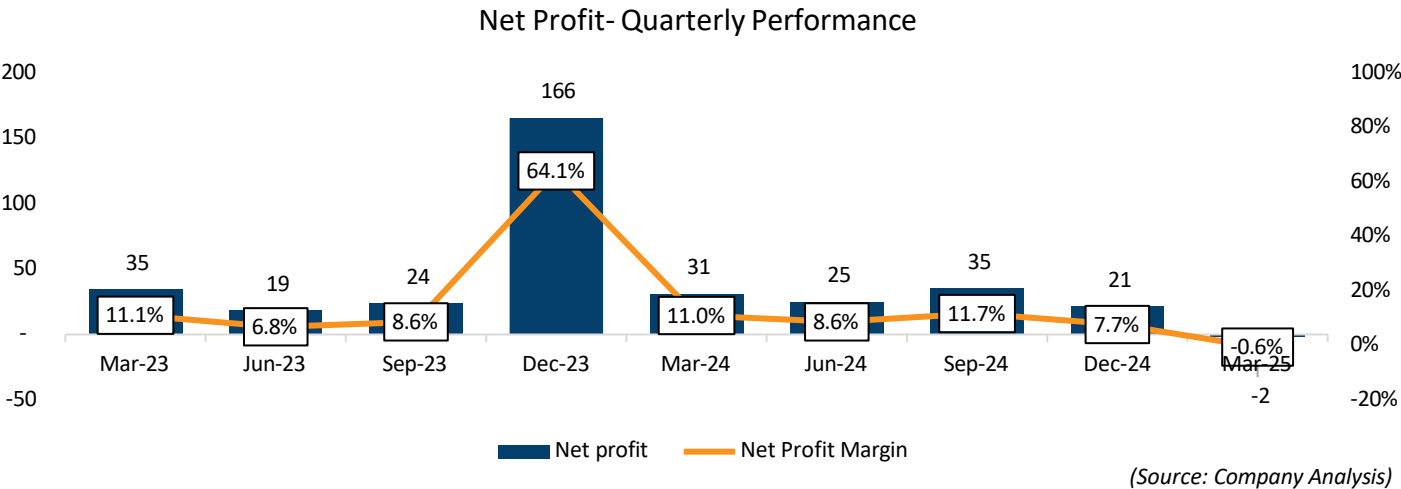
EBITDA:

EBITDA has grown at a CQGR of ~ (0.8%) in the past 9 Quarters.



Net Profit:

Net profit has grown at a CQGR of ~ (5.9%) in the past 8 quarters from Mar-23 to Dec-25, Mar-25 seeing a loss of ₹2 crores. The abnormal margin in Dec-23 is due to an Other Income of ₹182 crores. On 28 January 2023, the Board-approved Committee authorized the transfer of 100% shareholding in NRB Bearings (Thailand) Ltd. to NRB Holdings Ltd. for ₹47 crores. It became a wholly owned step-down subsidiary from 1 April 2023. An exceptional gain of ₹23 crores was recorded in the nine months ended 31 December 2023. Another exceptional item was a sale of freehold land and building in Thane on 22 January 2022. It was sold during the quarter ended 31 December 2023 for ₹196.05 crore (net gain: ₹177.68 crore) after expenses.



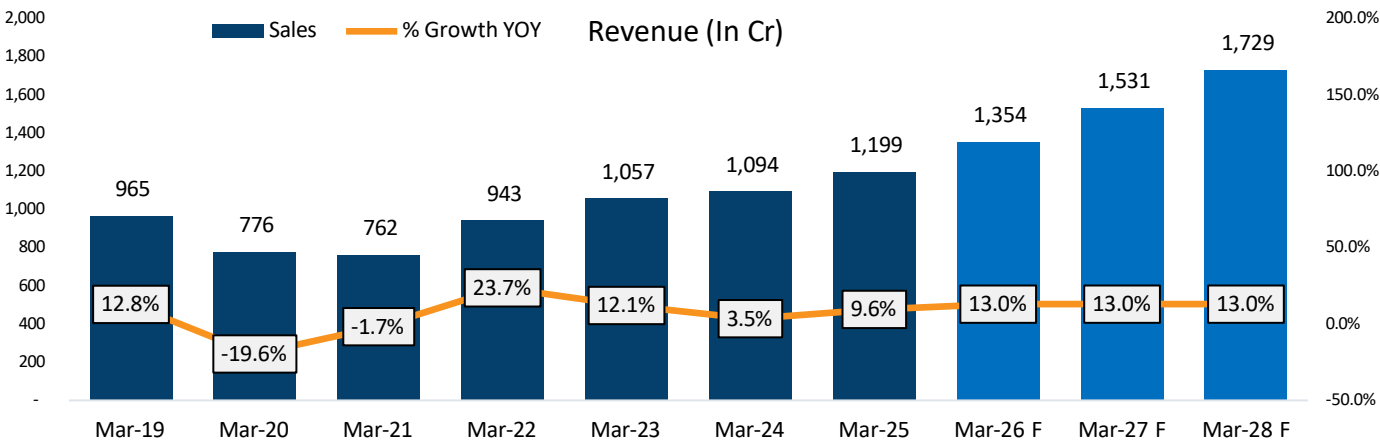
Financial Analysis:

Common Size P/L

Rs Cr	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Sales	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Raw Material Cost	40.2%	37.9%	36.3%	39.9%	44.7%	40.5%	38.5%
Change in Inventory	3.8%	-1.4%	-1.4%	3.3%	6.2%	2.2%	0.7%
Power and Fuel	3.6%	4.2%	4.2%	4.1%	4.4%	4.4%	0.0%
Other Mfr. Exp	11.8%	15.9%	13.9%	15.3%	13.8%	14.6%	0.0%
Employee Cost	14.3%	17.7%	18.1%	16.6%	15.2%	15.6%	16.0%
Selling and Admin Cost	12.5%	10.1%	9.8%	10.4%	10.4%	10.0%	0.0%
Other Expenses	2.0%	1.6%	2.5%	1.3%	1.0%	1.1%	29.6%
Operating Profit	11.7%	14.0%	16.6%	9.0%	4.3%	11.6%	15.2%
Other Income	2.3%	2.1%	2.0%	1.1%	1.2%	18.8%	-2.3%
Depreciation	3.7%	4.3%	4.0%	3.9%	3.9%	4.0%	4.0%
Interest	1.6%	2.9%	3.0%	1.9%	1.9%	2.0%	0.9%
Profit Before Tax	16.3%	6.0%	8.7%	10.8%	12.1%	28.9%	9.5%
Tax	4.9%	1.8%	1.4%	2.8%	3.0%	6.8%	2.6%
Net Profit	11.2%	4.1%	7.1%	7.8%	8.9%	21.9%	6.6%

Revenue:

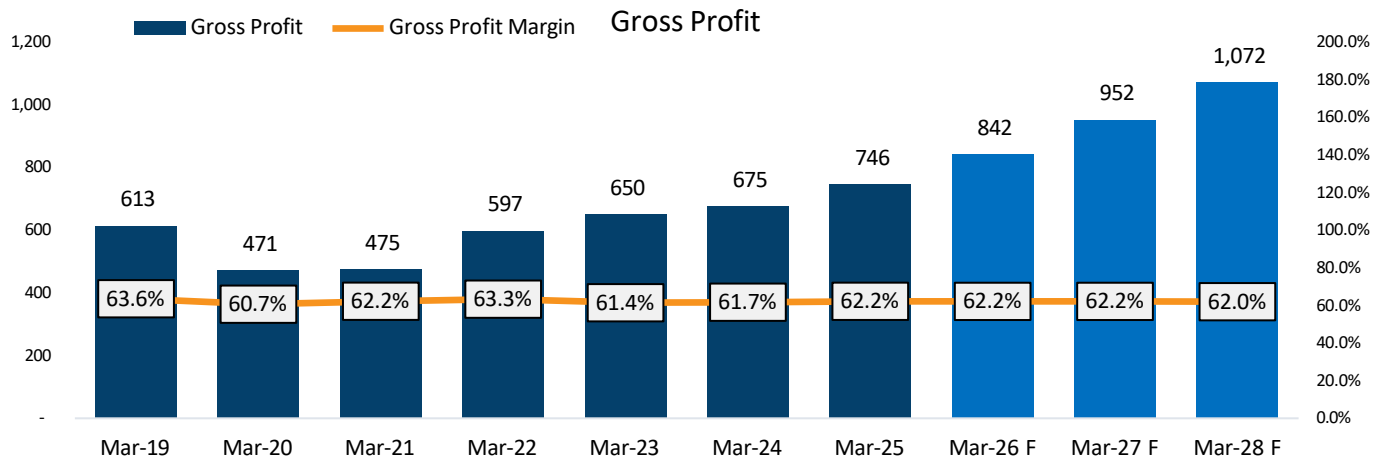
The Revenue has grown at a CAGR of ~12.32% in the past 7 years.
The management expects the revenue to grow in the range of 12-14%.



(Source: Company Analysis)

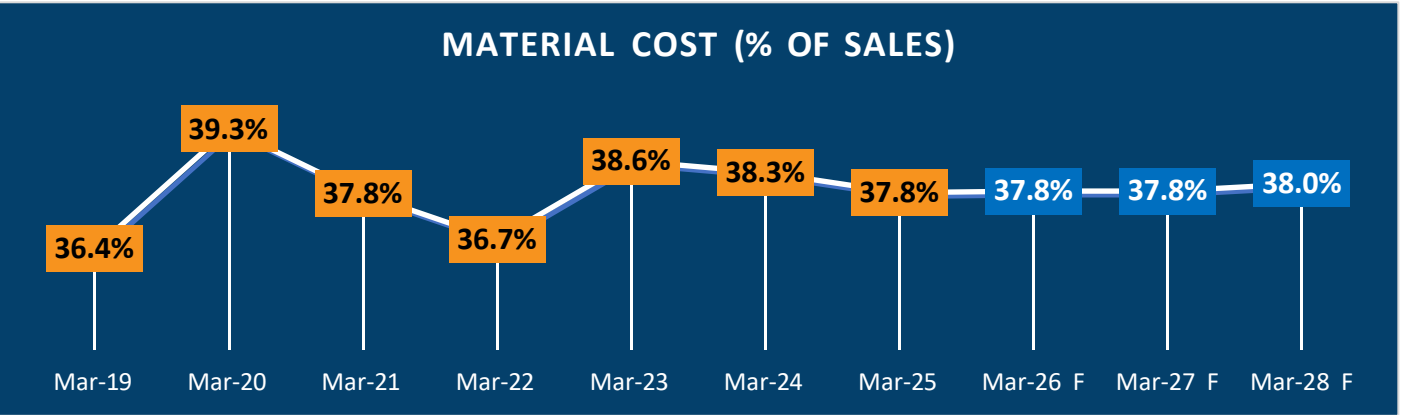
Gross Profit:

The Gross Profit has grown at a CAGR of ~12.3% in the past 7 years. The Margin is stable and we expect it to be in the similar range for future.



(Source: Company Analysis)

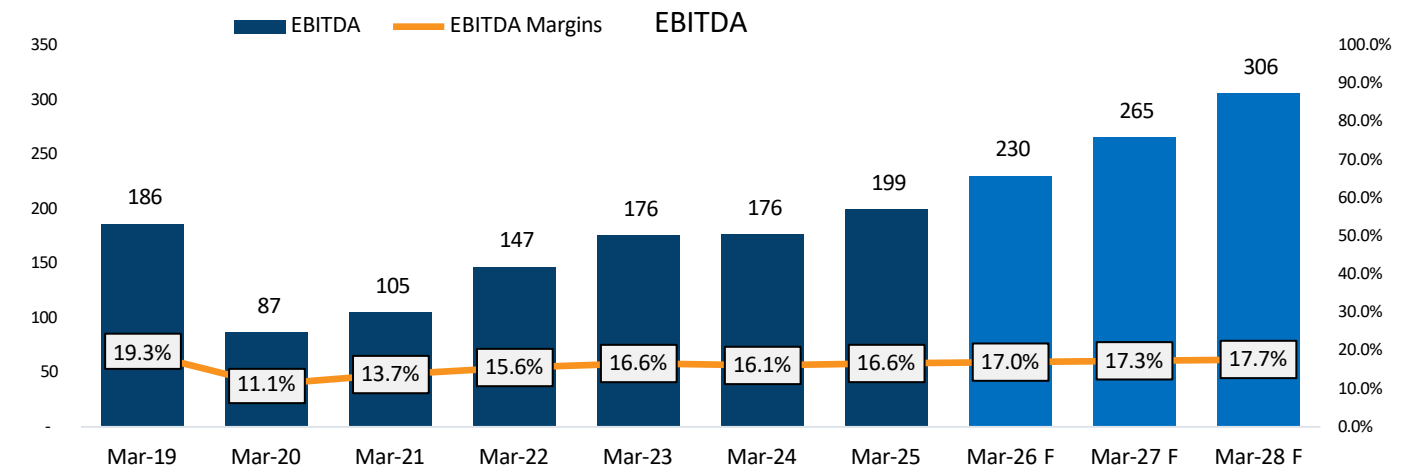
Financial Analysis:



(Source: Company Analysis)

EBITDA:

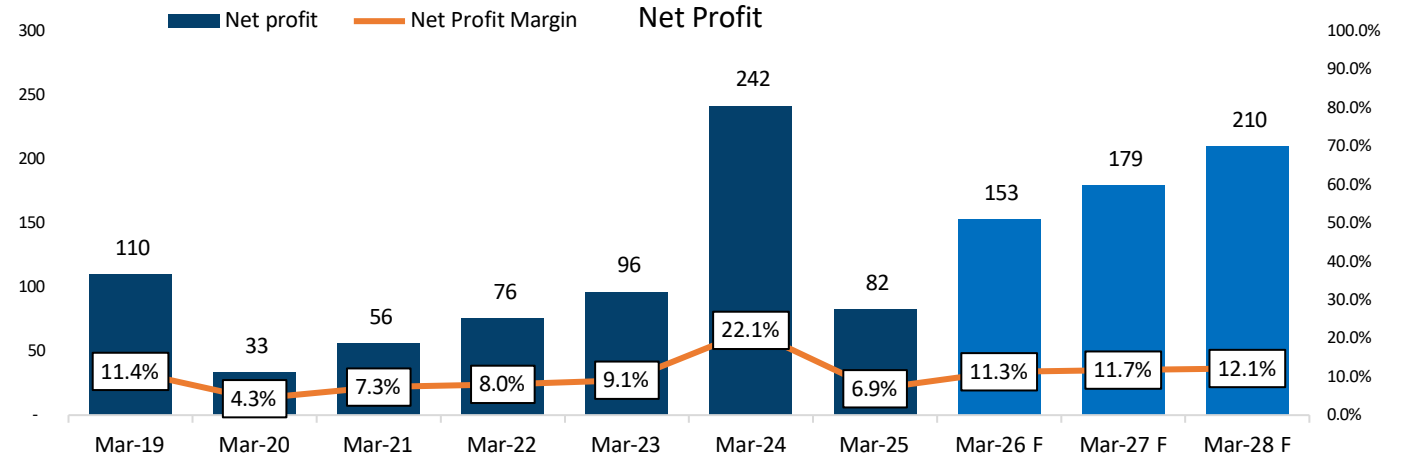
EBITDA has grown at a CAGR of 16.7% in past 7 years. Keeping the Management’s expectation of reaching 20%+ margin in upcoming years, we estimate the margin to improve slowly. They mention that this would be driven by a combination of operating leverage from higher volumes (12-14% growth), ongoing cost optimization projects (solar, logistics, automation), and an improving product mix with a focus on next-generation platforms for global OEMs.



(Source: Company Analysis)

Net Profit:

Net Profit has grown at a CAGR 21.5% in past 7 years. FY24 being an exception as mentioned in our previous page on Quarterly results.



(Source: Company Analysis)

Financial Analysis:

Analysis:

- Equity stays constant at ₹19 Cr** across all years — no dilution, even in future projections.
- Reserves have grown steadily**, from ₹451 Cr in FY19 to ₹996 Cr by FY25 — strong internal accruals.
- From FY26 to FY28, reserves are projected to rise further** to ₹1,174 Cr — indicating continued profitability.
- Borrowings drop from ₹359 Cr (FY20) to ₹178 Cr (FY25)** — a major reduction, showing real efforts at deleveraging.
- Forecasts assume debt stays low**, around ₹179 Cr by FY28 — suggesting management intends to stay conservative.
- Borrowings as % of liabilities fall from 36.5% in FY20 to 13.7% by FY26**, and even lower going forward — a much healthier structure.
- Total assets grow from ₹948 Cr in FY19 to ₹1,300 Cr by FY25**, and are projected to touch ₹1,572 Cr by FY28 — a solid growth trend.
- Net block remains stable till FY25**, but projected to increase from ₹337 Cr to ₹419 Cr by FY28 — points to a new capex cycle.
- Capital WIP also rises in projections**, from ₹33 Cr (FY25) to ₹84 Cr (FY28) — reinforcing the expansion story.
- Receivables stay flat in absolute terms (₹215–222 Cr)**, but as a % of assets, they shrink — showing better working capital efficiency.
- Inventory rises sharply** — from ₹268 Cr in FY19 to ₹518 Cr in FY25, and forecasted to go up to ₹658 Cr by FY28 — this growing pile could be a risk.
- Cash and bank balances stay modest**, hovering between ₹31–86 Cr — limited liquidity, even in forecasts.
- Investments are expected to increase from ₹40 Cr (FY25) to ₹85 Cr (FY28)** — suggesting future strategic use of surplus cash.
- Other assets (loans, advances, intangibles, etc.) make up 60–65% of the balance sheet**, especially in FY26–28 — the bulk here needs more clarity.
- Fixed assets (net block + CWIP) shrink as % of total assets**, from ~39% to 32% in forecasts — could reflect a shift toward less capital-intensive growth.

Balance Sheet

Rs Cr	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26 F	Mar-27 F	Mar-28 F
Equity Share Capital	19	19	19	19	19	19	19	19	19	19
Reserves	451	438	498	569	648	841	899	993	1,077	1,174
Borrowings	280	359	253	302	329	178	187	191	188	177
Other Liabilities	197	167	186	183	215	201	194	195	196	201
Total Liabilities	948	983	957	1,074	1,212	1,239	1,300	1,399	1,481	1,572
Net Block	322	364	359	358	351	337	377	399	412	420
Capital WIP	15	16	10	11	28	43	39	49	64	84
Investments	13	12	12	34	36	44	58	60	60	55
Other Assets	598	591	575	671	796	815	826	890	945	1,012
Total Assets	948	983	957	1,074	1,212	1,239	1,300	1,399	1,481	1,572
Receivables	215	200	209	215	224	172	216	215	217	222
Inventory	268	227	203	289	369	418	437	519	579	668
Cash & Bank	31	78	76	68	83	101	56	67	83	86

(Source: Company Analysis)

Common Size Balance Sheet

Rs Cr	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26 F	Mar-27 F	Mar-28 F
Equity Share Capital	2.0%	2.0%	2.0%	1.8%	1.6%	1.6%	1.5%	1.4%	1.3%	1.2%
Reserves	47.6%	44.5%	52.1%	53.0%	53.5%	67.8%	69.2%	71.0%	72.8%	74.7%
Borrowings	29.5%	36.5%	26.5%	28.2%	27.1%	14.4%	14.4%	13.7%	12.7%	11.3%
Other Liabilities	20.8%	17.0%	19.4%	17.0%	17.7%	16.2%	14.9%	13.9%	13.2%	12.8%
Total Liabilities	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Net Block	34.0%	37.0%	37.5%	33.3%	29.0%	27.2%	29.0%	28.5%	27.8%	26.7%
Capital Work in Progress	1.6%	1.6%	1.1%	1.0%	2.3%	3.5%	3.0%	3.5%	4.3%	5.3%
Investments	1.3%	1.2%	1.3%	3.1%	3.0%	3.6%	4.5%	4.3%	4.1%	3.5%
Other Assets	63.1%	60.1%	60.1%	62.5%	65.7%	65.8%	63.5%	63.6%	63.8%	64.4%
Total Assets	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Receivables	22.7%	20.4%	21.8%	20.0%	18.5%	13.9%	16.6%	15.4%	14.7%	14.1%
Inventory	28.3%	23.1%	21.3%	26.9%	30.5%	33.7%	33.6%	37.1%	39.1%	42.5%
Cash & Bank	3.3%	7.9%	8.0%	6.3%	6.9%	8.1%	4.3%	4.8%	5.6%	5.5%

(Source: Company Analysis)

Financial Analysis:

Cashflow Statement:

- Operating cash flow has seen **major swings** over the years. After hitting a **low of just ₹16 Cr in FY22** due to a **big hit from working capital** (mainly receivables and inventory), CFO **bounced back to ₹115 Cr in FY24**. However, it **dipped again to ₹84 Cr in FY25**, showing that while **profit generation is consistent**, **cash conversion is still patchy**.
- Investing cash flows are **mostly negative**, as expected from ongoing capex needs. But **FY24 breaks the trend with a one-off ₹100 Cr inflow**, thanks to a **₹151 Cr**, majority of which gain arises from the sale of land. This boost **doesn't repeat in FY25**, which sees a return to **₹60 Cr outflow**, driven by **high capex (₹82 Cr)**.
- Financing activity is **mostly quiet**, except for **FY24**, when the company made a **big move — repaying ₹149 Cr in borrowings and paying out ₹34 Cr in dividends**, leading to a **total outflow of ₹222 Cr**. That's **unusually high** compared to other years and suggests a **conscious effort to clean up the balance sheet**. By FY25, **financing flows normalize** again, with a **₹29 Cr outflow**, indicating that the **heavy lifting on debt and dividends is likely done**.

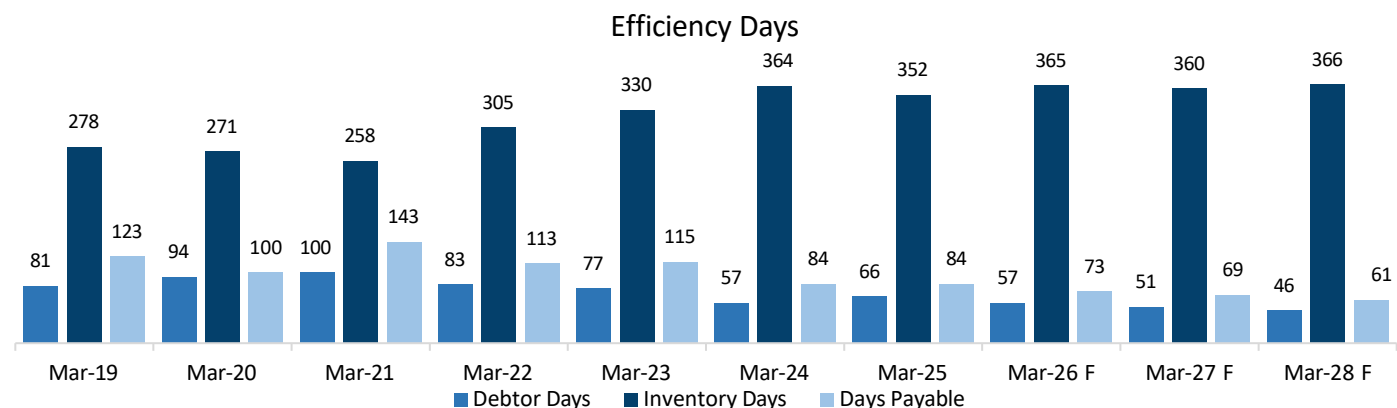
Rs Cr	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Cash from Operating Activity (CFO)	71	102	158	16	61	115	84
<i>% Growth YoY</i>		45%	54%	-90%	279%	90%	-27%
Cash from Investing Activity	-89	-65	-32	-50	-44	100	-60
Cash from Financing Activity	36	9	-129	22	-13	-222	-29
Net Cash Flow	17	46	-3	-12	4	-7	-5
CFO/Sales	7.3%	13.2%	20.7%	1.7%	5.7%	10.5%	7.0%
CFO/Net Profit	64.3%	308.0%	283.2%	21.2%	63.2%	47.7%	101.7%
CFO/EBITDA	38.0%	118.2%	150.8%	10.9%	34.6%	65.3%	42.0%
Capex	94	66	36	30	41	49	82
FCFF	-23	36	122	-14	20	66	2
<i>FCF Growth YoY</i>		255.3%	236.2%	-111.5%	241.6%	234.7%	-97.4%
FCF/Sales	-2.4%	4.7%	16.0%	-1.5%	1.9%	6.0%	0.1%
FCF/Net Profit	-21.5%	112.9%	225.2%	-19.1%	21.0%	27.6%	2.1%

(Source: Company Analysis)

Cash Conversion Cycle:

- Working capital cycle has weakened over the past few years. While **debtor days have improved**, falling from **100 in FY21 to 66 in FY25**, the benefit has been outweighed by a **consistent rise in inventory levels**, which increased from **258 days to 352 days** over the same period. Additionally, the company's **payables period has shortened** from **143 days in FY21 to just 84 days in FY25**, reflecting faster supplier payments. As a result, the **cash conversion cycle (CCC) has stretched** from **215 days in FY21 to 334 days in FY25**, putting pressure on operating cash flows.
- Looking ahead, **we expect the CCC to remain elevated**, averaging around **345–351 days during FY26–28F**. This will likely be driven by **persistently high inventory holding (365+ days)** and **limited headroom on payable days**, even as **receivables continue to improve**. In our view, unless inventory efficiency improves, **the extended working capital cycle could weigh on free cash generation and return ratios**.

Particulars	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26 F	Mar-27 F	Mar-28 F
Debtor Days	81	94	100	83	77	57	66	57	51	46
Inventory Days	278	271	258	305	330	364	352	365	360	366
Days Payable	123	100	143	113	115	84	84	73	69	61
Cash Conversion Cycle	236	265	215	275	292	337	334	349	343	351



(Source: Company Analysis)

Ratio Analysis:

Profitability Ratios	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Quick Ratio	78.7%	76.6%	102.6%	90.1%	87.9%	119.0%	91.0%
Current ratio	150.7%	129.9%	164.4%	160.3%	171.0%	253.5%	240.0%
Expenses Growth	27.4%	-21.6%	-4.7%	34.9%	18.0%	-4.4%	5.2%
Gross Profit Growth	16.5%	-23.3%	0.8%	25.9%	8.8%	4.0%	10.4%
EBITDA Growth	9.9%	-53.5%	20.9%	40.3%	19.7%	0.3%	13.0%
EBIT Growth	9.0%	-64.7%	38.9%	48.2%	23.1%	-1.5%	14.1%
PBT Growth	16.1%	-70.2%	41.9%	52.9%	25.7%	147.5%	-64.1%
Net Profit Growth	18.3%	-69.8%	67.8%	35.7%	27.2%	151.2%	-65.9%
Dividend Growth	0.0%	-69.2%	-37.5%	300.4%	-50.0%	310.0%	65.8%
Dividend Payout	22.9%	23.4%	8.7%	25.6%	10.1%	16.5%	80.0%
Efficiency Ratios	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Debtor Turnover	4.49	3.88	3.65	4.38	4.73	6.36	5.56
Inventory Turnover	3.60	3.42	3.75	3.26	2.86	2.62	2.74
Net Fixed Asset Turnover	2.99	2.13	2.13	2.64	3.01	3.25	3.18
Total Asset Turnover	1.02	0.79	0.80	0.88	0.87	0.88	0.92
Leverage Ratios	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Debt/Equity	59.5%	78.6%	48.9%	51.4%	49.2%	20.8%	20.4%
Debt/Assets	29.5%	36.5%	26.5%	28.2%	27.1%	14.4%	14.4%
Debt/EBITDA	150.5%	414.9%	242.1%	206.1%	187.2%	101.2%	94.0%
Debt/Capital	37.3%	44.0%	32.8%	33.9%	33.0%	17.2%	16.9%
CFO/Debt	25.2%	28.5%	62.3%	5.3%	18.5%	64.5%	44.7%
Interest Coverage (Times)	11.00	3.09	3.94	6.56	7.50	15.18	11.23
Financial Leverage	2.01	2.15	1.85	1.82	1.81	1.44	1.42
Capital Allocation Ratios	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Return on Capital Employed	23.0%	8.5%	11.5%	13.4%	14.8%	32.6%	11.3%
Return on Equity	23.4%	7.3%	10.8%	12.8%	14.4%	28.1%	9.0%
Return on Invested Capital	15.3%	4.5%	8.0%	9.2%	10.5%	25.8%	7.8%
Valuation Ratios	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Enterprise Value (EV)	2090.8	852.3	1231.8	1349.1	1540.4	2675.2	2098.5
EV/EBITDA	11.24	9.85	11.77	9.19	8.77	15.18	10.53
Price/Earnings	16.76	17.21	18.94	14.74	13.46	10.75	23.90
Price/Sales	1.91	0.74	1.38	1.18	1.22	2.37	1.64
Price/CFO	26.06	5.59	6.69	69.47	21.30	22.55	23.51
Price/Book Value	3.91	1.25	2.04	1.89	1.94	3.02	2.14

Competitive Analysis: Introduction



Market Cap: ~ ₹300 Cr.

Galaxy Bearings Limited is a Rajkot-based manufacturer of taper roller bearings primarily catering to the automotive and industrial sectors. Established in **1990**, the company specializes in high-precision bearings used in commercial vehicles, trailers, and agriculture equipment.

Business Model: Galaxy operates a **B2B manufacturing model**, supplying bearings to OEMs and replacement markets in India and select overseas regions. It focuses on quality-centric, standardized production rather than mass diversification.

What sets them apart:

1. **Niche in Taper Bearings:** Known for specialization in taper roller bearings.
2. **OEM Relationships:** Supplies to established clients in the auto and agri sectors.
3. **Lean Operations:** Operates efficiently with a focus on quality and cost optimization.



Market Cap: ~ ₹140 Cr.

SNL Bearings Limited is a small-cap bearing manufacturer based in Ranchi, Jharkhand. Established in **1983** and now a subsidiary of **NRB Bearings**, the company primarily produces needle roller bearings used in two-wheelers, automotive transmissions, and industrial applications.

Business Model: SNL operates a **specialized manufacturing model**, focusing on needle roller bearings for automotive OEMs and the replacement market. It benefits from operational synergies and customer access through its parent company, NRB Bearings.

What sets them apart:

1. **Needle Bearing Focus:** Niche expertise in compact, high-load needle bearings.
2. **Parent Backing (NRB):** Gains market credibility and distribution strength from NRB.
3. **Lean, High-Margin Play:** Operates efficiently in a focused product vertical with healthy margins.



Market Cap: ~ ₹24,600 Cr.

Timken India Limited is a subsidiary of The Timken Company (USA), a global leader in tapered roller bearings and motion solutions. Established in **1987** and headquartered in Bengaluru, it serves key sectors including automotive, railways, industrial machinery, and wind energy.

Business Model: Timken India follows a **manufacturing-plus-distribution model**, producing high-precision bearings and mechanical power transmission products for OEMs and end-users across India and international markets.

What sets them apart:

1. **Global Legacy, Local Strength:** Strong backing of Timken USA with local manufacturing edge.
2. **Diversified Applications:** Serves railways, wind turbines, heavy industries, and defense.
3. **Premium Brand Positioning:** Known for high-performance, reliability-focused engineering.



Bimetal Bearings Limited

Market Cap: ~ ₹230 Cr.

Bimetal Bearings Limited, based in Coimbatore and established in **1961**, is one of India's oldest manufacturers of engine bearings, bushings, and thrust washers. It caters primarily to the automotive and industrial engine segments and is part of the **Amalgamations Group**, which also owns India Pistons and Simpson & Co.

Business Model: Bimetal operates a **component manufacturing model**, supplying critical engine parts to OEMs, especially in commercial vehicles, tractors, and industrial diesel engines. It focuses on high-quality bimetal and tri-metal bearings with precision manufacturing.

What sets them apart:

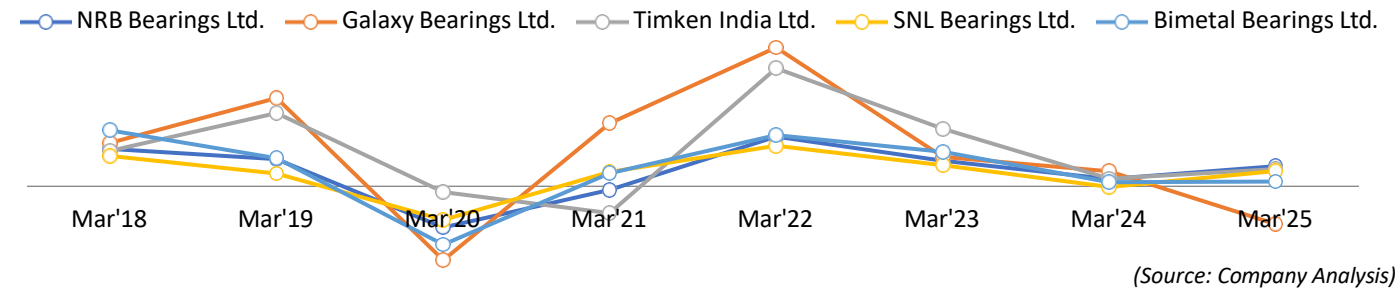
1. **Legacy in Engine Bearings:** 60+ years of expertise in engine-related friction solutions.
2. **OEM-Driven Business:** Supplies to major engine and CV manufacturers across India.
3. **Part of a Strong Group:** Backed by the Amalgamations Group's automotive ecosystem.

Competitive Analysis: Financials

Revenue Growth (%):

Company	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
NRB Bearings Ltd.	17.9	12.9	-19.6	-1.8	23.7	12.1	3.5	9.6
Galaxy Bearings Ltd.	20.7	42.0	-35.2	30.0	66.1	14.0	7.1	-18.0
Timken India Ltd.	16.9	34.9	-2.8	-12.8	56.2	27.4	3.7	8.2
SNL Bearings Ltd.	14.4	6.1	-16.0	6.8	19.3	10.0	-0.4	7.3
Bimetal Bearings Ltd.	26.6	13.3	-27.8	6.3	24.3	16.4	1.9	2.3

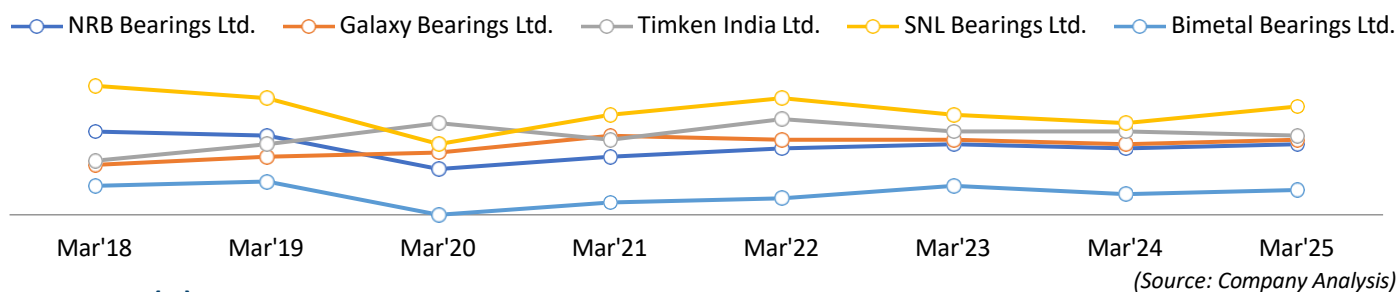
Revenue Growth (%)



EBITDA Margin (%):

Company	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
NRB Bearings Ltd.	20	19	11	14	16	17	16	17
Galaxy Bearings Ltd.	12	14	15	19	18	18	17	18
Timken India Ltd.	13	17	22	18	23	20	20	19
SNL Bearings Ltd.	31	28	17	24	28	24	22	26
Bimetal Bearings Ltd.	7	8	0	3	4	7	5	6

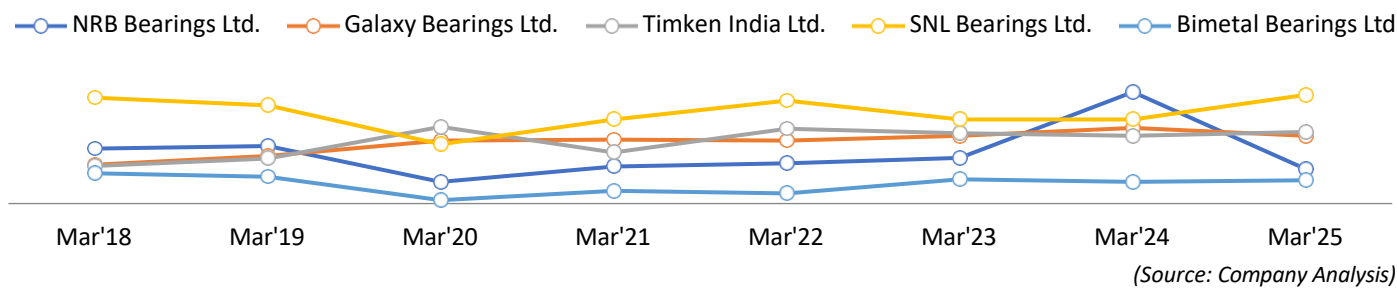
EBITDA Margin(%)



PAT Margin (%):

Company	Mar'18	Mar'19	Mar'20	Mar'21	Mar'22	Mar'23	Mar'24	Mar'25
NRB Bearings Ltd.	10.9	11.4	4.3	7.3	8.0	9.1	22.1	6.8
Galaxy Bearings Ltd.	7.7	9.5	12.5	12.7	12.5	13.4	15.0	13.5
Timken India Ltd.	7.5	9.0	15.2	10.1	14.8	13.9	13.5	14.2
SNL Bearings Ltd.	21.0	19.5	11.8	16.7	20.5	16.7	16.7	21.6
Bimetal Bearings Ltd.	6.0	5.3	0.7	2.5	2.0	4.8	4.3	4.6

PAT Margin (%)





Management Analysis:

Serial No.	KMP	Designation	Education & Experience
1	Harshbeena Zaveri	Vice Chairman & Managing Director	➤ Over 35 years at NRB Bearings Ltd., serving as Managing Director since 1989 and currently Vice Chairman & Managing Director. ➤ Holds or has held board/director positions in multiple companies, including NRB Bearings (Thailand) Co. Ltd., Karam Chand Thapar & Bros (Coal Sales) Ltd., and others. ➤ Extensive leadership in manufacturing, strategy, international business, and industry associations. ➤ Founder of Ashoka University and Non-Executive Chairman at SNL Bearings Ltd. ➤ Undergraduate degree from Wellesley College.
2	Satish Rangani	Whole Time Director	➤ Associated with NRB Bearings Ltd. since 1993, with over 30 years of experience in the company. ➤ Extensive expertise in finance, strategy, legal, compliance, and project execution across various industries. ➤ Served as Executive Director at NRB Bearings Ltd. and Non-Executive Director at SNL Bearings Ltd. ➤ Previously General Manager-Finance & Systems at Poysha Industrial Co. Ltd. ➤ Bachelor of Commerce, University of Mumbai. ➤ Masters in Management Studies, Jamnalal Bajaj Institute of Management Studies. ➤ Member, Institute of Company Secretaries of India.
3	Raman Malhotra	CFO	➤ Over 15 years of experience in finance management across strategic organizations. ➤ Expertise in financial planning & analysis, treasury, budgeting, forecasting, plant finance and receivable management. ➤ Previously held role such as Director of Finance & Controlling for South Asia at MBCC Group. ➤ Previously held role Business Controller at BASF India. ➤ Previously held role Business Controller at Henkel Adhesives Technologies ➤ Previously held role Consultant at Ernst & Young Pvt. Ltd. ➤ Bachelor of Commerce (Hons), Zakir Husain College, University of Delhi.
4	Shruti Joshi	CS	➤ Vice President Legal & Company Secretary at NRB Bearings Limited. ➤ Associate Member of the Institute of Company Secretaries of India (ICSI). ➤ Responsible for legal affairs and company secretarial compliance. ➤ Experience in corporate governance and legal management.

BOARD SKILLS AND EXPERIENCE

Board skills and experience	Harshbeena Zaveri	Satish Rangani	Tashwinder Singh	Ashank Desai	Rustom Desai	Vishakha R.M.
Leadership experience	✓	✓	✓	✓	✓	✓
Experience in guiding business strategy	✓	✓	✓	✓	✓	✓
Finance and Accounting expertise	x	✓	✓	x	x	✓
Technological expertise	✓	x	x	✓	✓	x
Corporate governance and regulatory landscape	✓	✓	✓	x	x	✓

SUBSIDIARIES

Name of the subsidiary	Turnover	PBT	PAT
NRB Bearings (Thailand) Limited	THB 486.92 million	THB 35.59 million	THB 31.15 million
NRB Bearings Europe GmbH	EURO 11,475,085.6	EURO 478,117	EURO 320,609
NRB Bearings, USA Inc	USD 5,237,124	USD 485,366	USD 334,903
SNL Bearings Limited	INR 4769	INR 1073	INR 782
NRB Holdings Limited	USD 887,911	USD (137,309)	USD (137,309)

(Source: Company Reports, Company Analysis)

Name of directors & Key Managerial Personnel	Designation	Ration of remuneration to Median Remuneration of all Employees	Total Remuneration (Rs. In Lacs)
Ms. Harshbeena Zaveri	Vice Chairman & Managing Director	69.62x	375.93
Mr. Satish Rangani#	Whole Time Director	24.97x	134.83
Mr. Pankaj Khemka *	CFO	12.42x	67.09
Mr. Raman Malhotra **	CFO	3.35x	18.07
Ms. Shruti Joshi	CS	15.74x	85.02
Mr. Tashwinder Singh	Non-Executive Director	3.39x	18.30
Mr. Devesh Singh Sahney ***	Non-Executive Director	0.22x	1.20
Mr. Ashank Desai	Non-Executive Director	1.58x	8.55
Mr. Rustom Desai	Non-Executive Director	1.54x	8.30
Ms. Vishakha R.M.	Non-Executive Director	2.24x	12.10

Director/KMP	Sitting fees	Commission on profits	Salary and Perquisites	Total
Ms. Harshbeena Zaveri	-	₹ 1,25,00,000	₹ 2,50,93,191	₹ 3,75,93,191
Mr. Tashwinder Singh	₹ 6,30,000	₹ 12,00,000	-	₹ 18,30,000
Mr. Devesh Singh Sahney	₹ 1,20,000	-	-	₹ 1,20,000
Mr. Satish Rangani	₹ 1,50,000	₹ 2,25,000	₹ 1,34,82,573	₹ 1,38,57,573
Mr. Ashank Desai	₹ 3,30,000	₹ 5,25,000	-	₹ 8,55,000
Mr. Rustom Desai	₹ 3,80,000	₹ 4,50,000	-	₹ 8,30,000
Ms. Vishakha R.M.	₹ 6,10,000	₹ 6,00,000	-	₹ 12,10,000

(Source: Annual Report)

COMMITTEE

Audit Committee		Nomination and Remuneration Committee		Corporate Social Responsibility Committee	
Tashwinder Singh	Chairman	Vishakha R.M.	Chairman	Harshbeena Zaveri	Chairman
Harshbeena Zaveri	Member	Rustom Desai	Member	Satish Rangani	Member
Vishakha R.M.	Member	Tashwinder Singh	Member	Ashank Desai	Member

Risk Management Committee		Stakeholders Relationship Committee	
Vishakha R.M.	Chairman	Ashank Desai	Chairman
Harshbeena Zaveri	Member	Harshbeena Zaveri	Member
Tashwinder Singh	Member	Vishakha R.M.	Member
Pankaj Khemka	Member		

(Source: Annual Report)

COMMENTS

- The management team at **NRB Bearings Ltd.** brings decades of experience and strategic leadership to drive innovation, operational excellence, and global expansion in the precision bearing industry. **Vice Chairman & Managing Director Harshbeena Zaveri**, with over 35 years at NRB, leads the company with a strong vision and deep expertise in manufacturing, strategy, and international business. Her leadership extends beyond NRB, with active roles in group companies and educational initiatives.
- She is supported by **Whole-time Director Satish Rangani**, who has been associated with the company since 1993. With extensive experience in finance, legal, compliance, and project execution, he plays a key role in shaping strategic and operational decisions.
- CFO Raman Malhotra** brings over 15 years of financial expertise, with a strong background in planning, treasury, forecasting, and plant finance. His experience across global firms like BASF, Henkel, and Ernst & Young strengthens NRB’s financial management and controls.
- Shruti Joshi**, Vice President – Legal & Company Secretary, ensures robust governance and compliance, bringing valuable experience in legal management and corporate affairs.

Together, the team is focused on driving sustainable growth, improving global competitiveness, and reinforcing NRB Bearings’ leadership in the industrial and automotive bearings market.

(Source: Company Analysis)

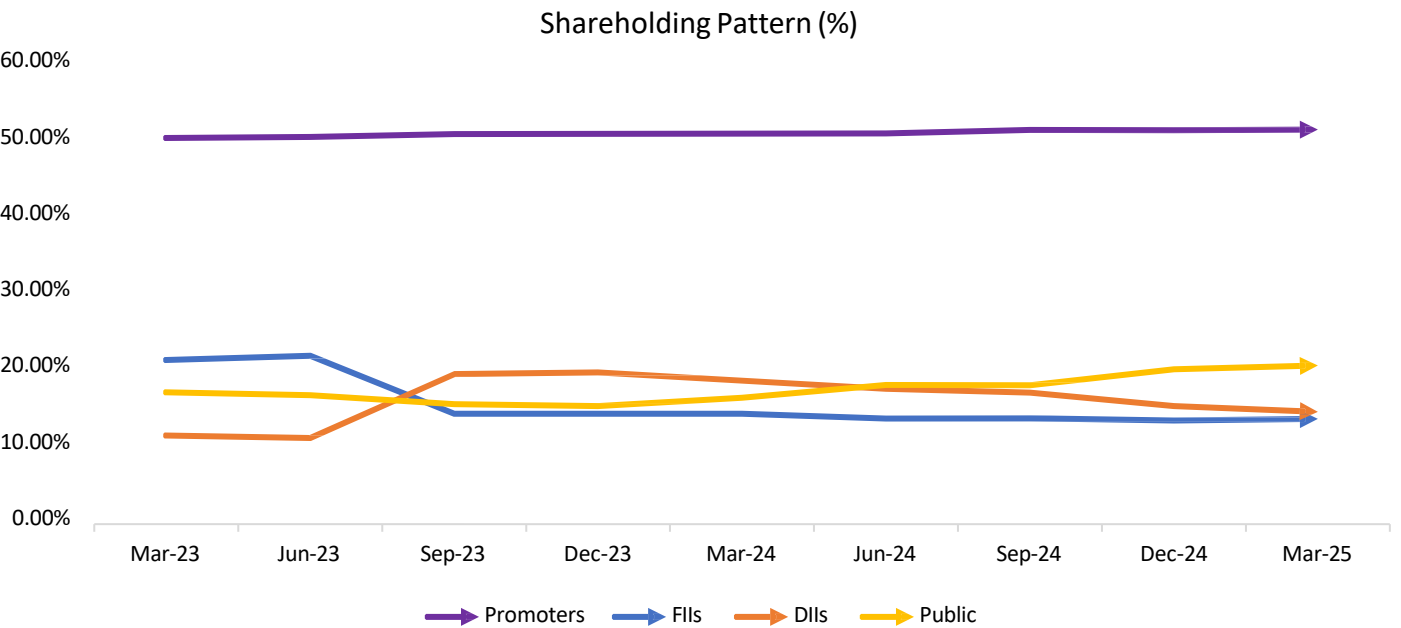
Shareholding Analysis:

Shareholding Pattern:

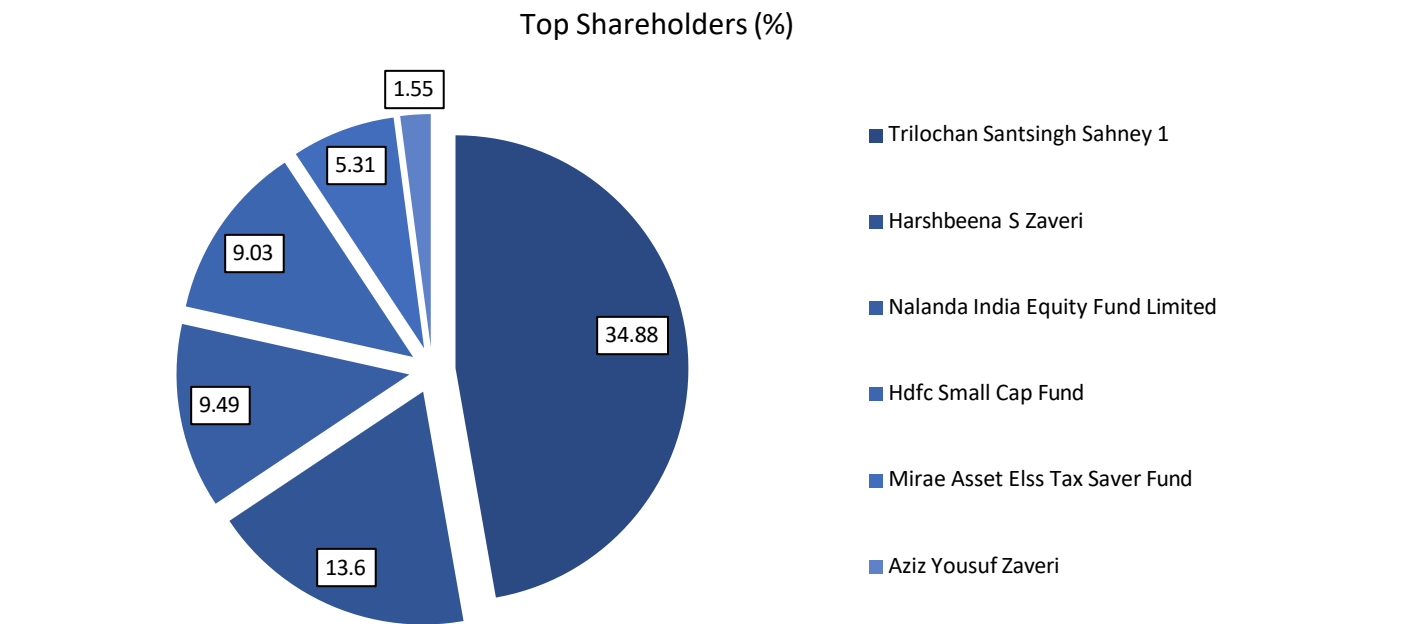
- 1. FIIs have reduced their holdings.
- 2. DIIs have reduced their holdings in the past 2 quarters.
- 3. Public holding is picking up.

	Mar-23	Jun-23	Sep-23	Dec-23	Mar-24	Jun-24	Sep-24	Dec-24	Mar-25
Promoters	50.11%	50.24%	50.63%	50.67%	50.69%	50.69%	51.16%	51.12%	51.20%
FIIs	21.29%	21.85%	14.31%	14.31%	14.33%	13.69%	13.74%	13.45%	13.65%
DIIs	11.49%	11.18%	19.48%	19.69%	18.59%	17.58%	17.08%	15.34%	14.56%
Public	17.11%	16.73%	15.58%	15.32%	16.39%	18.05%	18.01%	20.08%	20.59%
No. of Shareholders	47,966	45,662	47,766	53,057	52,837	64,259	65,250	73,836	75,444

(Source: Screener, Company Analysis)



(Source: Screener, Company Analysis)



(Source: Screener, Company Analysis)

Growth Drivers for the Company:

- **EV-AGNOSTIC PLATFORM INTEGRATION & NEXT-GEN OEM PROGRAMS**
 1. Expansion into EV-agnostic products (steering, chassis, driveline) and hybrid/EV-specific components.
 2. Global OEM nominations (BMW, Stellantis, Daimler, ZF, Magna, Volvo, Dana) for next-gen vehicle platforms are ramping up.
 3. ₹400 Cr of new nominations over the next 3–5 years; ₹200 Cr capex plan to meet rising EV platform demand.
- **CAPACITY EXPANSION TO UNLOCK HIGHER GROWTH**
 1. ₹200 Cr capex to enhance monthly capacity from ₹110 Cr/month.
 2. Current capacity nearing saturation; expansion supports volume growth across ICE, hybrid, and EV lines.
 3. Strong order book + 12–14% revenue growth guidance (FY26); fully recovered from Waluj fire disruption.
- **GLOBAL BUSINESS ACCELERATION (TRUCK, DEFENSE, AFTERMARKET)**
 1. More than 25% of revenue is from exports; focus on truck, defense, and global aftermarket.
 2. Global demand revival in North America & Europe, especially in trucks and two-wheelers.
 3. Direct exports to 45+ countries; strong traction from defense and global 2W customers.
- **R&D-LED PRODUCT INNOVATION AND CUSTOMIZATION**
 4. Proprietary R&D (36,000+ sq. ft. centre with 70+ engineers) enables rapid development of customized, high-margin components.
 5. No royalty outflows; faster innovation cycles = margin expansion + customer stickiness.
 6. Over 3,000 SKUs; advanced bearings like delta-flex, unitized thrust, and kingpin bearings; 2% of revenue into R&D.
- **STRATEGIC PUSH INTO UNDERPENETRATED SEGMENTS**
 7. Targeted entry into Aftermarket, Industrial Mobility (tractors, off-highway), and Defense.
 8. High-margin, less cyclical segments where NRB had historically low presence.
 9. Aftermarket and Industrial now contribute ~12% and ~11% respectively; management sees them as next growth pillars.
- **DE-RISKED, DIVERSIFIED REVENUE BASE WITH CUSTOMER STICKINESS**
 1. No single segment >33%, no single customer >10%; top 10 customers = 49% of revenue.
 2. Reduces cyclicity impact and ensures long-term visibility via design-stage involvement.
 3. Present in CV, PV, 2W, industrial, and aftermarket — balanced exposure protects topline and enables targeted scaling.

Risks/ Challenges for the Company:

- **HIGH RAW MATERIAL IMPORT DEPENDENCE (60–70%)**
 1. Steel sourced mainly from Europe & Japan exposes NRB to **FX volatility and global commodity price spikes**.
 2. Material cost inflation can **compress margins by 150–200 bps**, especially in a weaker rupee cycle.
 3. Immediate and persistent unless local sourcing or hedging strategies improve.
- **WORKING CAPITAL-INTENSIVE BUSINESS MODEL**
 1. High inventory and receivable cycles, exacerbated post-Waluj fire.
 2. Ties up cash flow; **~₹30 Cr improvement in FY25**, but sustained optimization is pending.
 3. Management aims to improve from FY26 through process automation and payable optimization.
- **EV TRANSITION RISK – TECHNOLOGY DISRUPTION**
 1. **Risk:** Full EVs may require **fewer rotating components**, reducing bearing content in some vehicle platforms.
 2. **Impact:** If EV-agnostic products fail to scale, revenue loss from legacy platforms could be **~10–12%** over 5 years.
 3. **Timeline:** Medium-term, especially if ICE-to-EV shift accelerates beyond anticipated pace.
- **EXPOSURE TO AUTO SECTOR CYCLICALITY**
 4. ~77% of NRB's revenue is tied to the automotive sector (2W, CV, PV). Any slowdown in OEM despatches or retail demand affects volume off-take.
 5. Inventory pile-up and delayed orders, especially during weak macroeconomic or rural cycles, can lead to **flat-to-negative growth in short term**.
 6. Ongoing; Q1 FY25 saw softness in dispatch due to high inventory in PV/CV channel.
- **THREAT FROM COUNTERFEIT PRODUCTS IN AFTERMARKET**
 7. As NRB grows its aftermarket revenue (currently ~12%), fake/spurious products can damage brand reputation and lead to revenue erosion.
 8. Could result in **market share loss** and warranty-related costs.
 9. Long-term risk; needs stronger brand protection, packaging innovation, and legal vigilance.
- **EXECUTION RISK IN ₹200 CR CAPACITY EXPANSION**
 10. Delay or cost overrun in ongoing ₹200 Cr capex could impact timely execution of ₹400 Cr worth of nominated orders (next 3–5 years).
 11. Delay could result in **revenue loss or order reallocation to competitors**, especially in export-heavy segments like global truck and EV powertrains.
 12. Medium-term risk (FY26–FY28 window).

SWOT ANALYSIS

STRENGTHS

- Differentiated R&D and Cost Structure:** NRB's in-house R&D is a significant competitive advantage. Unlike its MNC peers, it does not pay royalties, allowing it to command better margins. This focus on proprietary innovation, customization, and process technology is a core strength, validated by both the company and external analysts.
- Market Dominance and Deep Integration:** With a commanding market share in its core products (needle and cylindrical bearings) and a presence in the vast majority of Indian vehicles, NRB has a deeply entrenched position. It acts as a "first choice supplier" and "design board partner," embedding itself in the development of next-generation platforms for global OEMs.
- Financial Prudence:** The company exhibits strong financial health, characterized by debt reduction (via land sale proceeds) and low leverage.
- Agile and Future-Ready Operations:** NRB is seen as agile and fast-paced, successfully developing capabilities for low-volume, custom-designed products. This makes it a key supplier for the EV and advanced mobility sectors, with nominations for new electric powertrains from leading global players.

WEAKNESSES

- Working Capital-Intensive Operations:** The business model is inherently working capital-intensive. This is a concern; company is now focusing on inventory and receivables optimization. This remains a key area for internal management focus.
- Potential R&D P&L Drag:** The flip side of a strong R&D focus is the financial commitment required. The continuous investment in R&D could be a drag on P&L account in some years, highlighting the financial trade-off for maintaining a technological edge.
- Historically Low Penetration in Key Growth Segments:** While now a stated strategic priority, the company's current low penetration in high-potential segments like the Aftermarket, Industrial Mobility, and Defence represents an existing gap in its business portfolio that it is actively working to close.

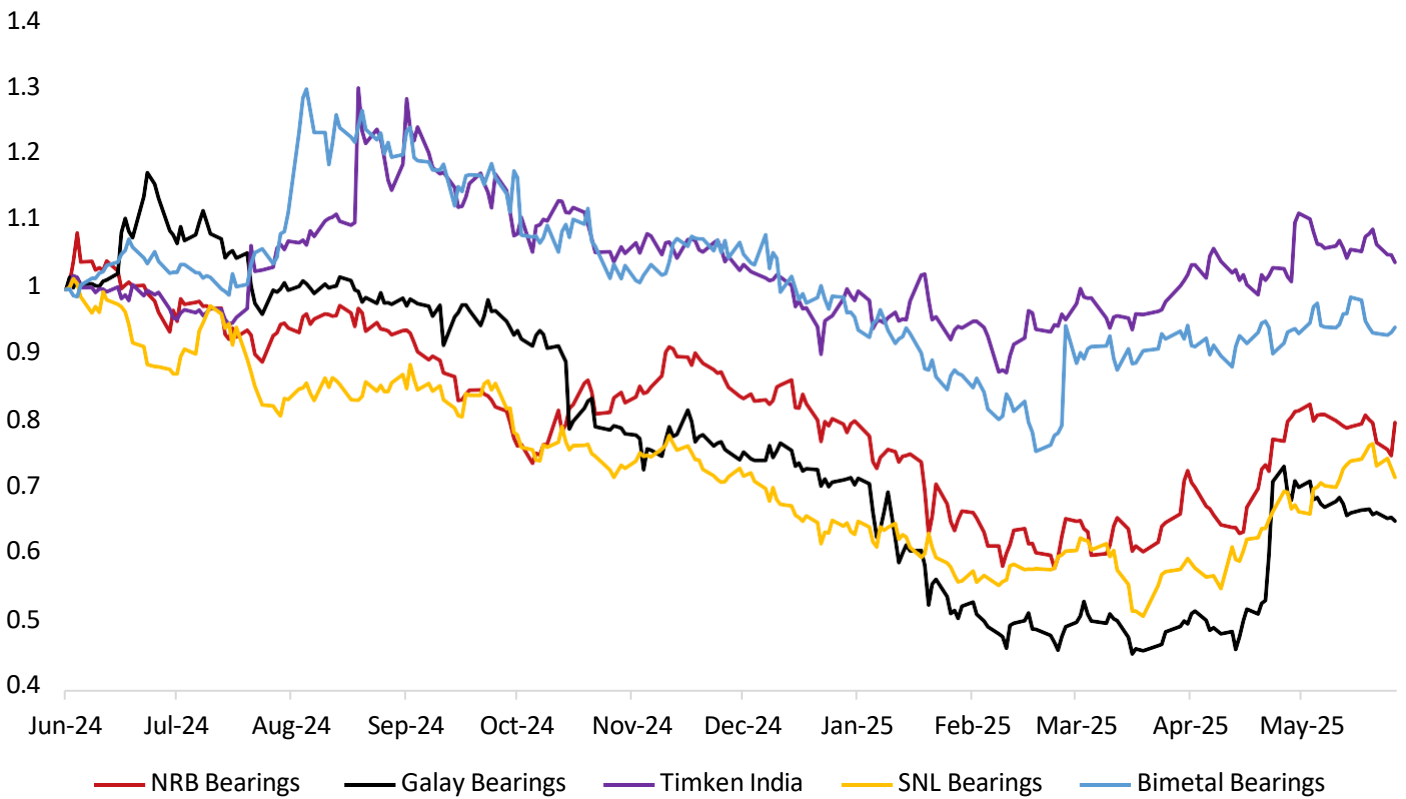
OPPORTUNITIES

- Favourable Macro-Economic & Policy Environment:** The Indian government's mission to establish the country as a global automobile manufacturing hub (targeting a Rs 25 lakh crore industry) provides a massive tailwind. Furthermore, national targets for component export growth (ACMA's US\$ 80 billion target by 2026) create a highly favourable operating environment for companies like NRB.
- The Global EV and Hybrid Transition:** NRB is exceptionally well-positioned to capitalize on the shift to electric mobility. Its "EV-agnostic" strategy and its role as a key supplier for the new electric and hybrid powertrains of major global OEMs (in Europe, America, Japan, and Korea) represent its single largest growth opportunity.
- Revival in Key Export Markets:** Exports are a key growth driver for the company. A potential "revival of demand in Europe and North America" for trucks and passenger vehicles would directly boost revenues and margins, providing a significant near-to-medium term catalyst.

THREATS

- Raw Material Volatility & Import Dependence:** The HDFC report highlights a critical threat: NRB's reliance on imports for **60-70% of its key raw material (steel)**, primarily from Europe and Japan. This exposes the company to significant raw material price volatility and foreign exchange risk.
- Technological Obsolescence (EV Transition Risk):** While NRB is capitalizing on the EV transition, a counter-risk exists. The rapid adoption of EVs could reduce overall bearings requirements for certain traditional components. This is the classic threat of disruption that the company must continue to navigate by focusing on high-value, agnostic parts.
- Automotive Sector Cyclicity & Near-Term Headwinds:** The business remains vulnerable to the cyclical demand of the auto industry. A near-term slowdown in manufacturer despatches due to high inventory in the channel, which could temporarily dampen wholesale growth.
- Threat from Spurious/Counterfeit Products:** As a market leader with strong brand recognition, NRB faces an operational threat from counterfeit products in the aftermarket, which can erode brand value and sales.

Daily Share price trend TTM- Peer comparison



(Source: Investing.com, NSE, Company Analysis)

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